- As a **bad actor**, your goal is to mislead the group but do so in a subtle manner.
- The purpose of the game is to understand the challenges and benefits of decentralized systems and learn how to verify information, achieve consensus, and identify malicious behavior.
- You will be divided into small groups and given a problem to solve within a set time frame.

Remember, **in a decentralized system, you cannot simply trust the answers of other group members**. You must verify the accuracy of the information and come to a consensus through discussion and collaboration.

4.3 Transactions are Just Agreements to Trade

Welcome to *The **Decentralized** Micronesian island of Yap!* It is a bit remote, but fascinating because people use a special kind of currency called "Rai stones." A feature that makes them a great form of money is their **scarcity**. The total number of Rai stones is *limited*, which means that *they cannot be easily reproduced or inflated* like fiat currencies. This fixed supply helps to maintain the purchasing power of the Rai stones over time and makes them a reliable store of value. These Rai stones are like giant coins that are used to purchase stuff on the island. The thing is, they can weigh a *ton*. Rai stones can actually crush you, so they're a bit impractical to carry around. How then, can people conveniently use Rai stones as mediums of exchange without having to physically take them from one place to another?

4.3.1 To Trust or Not to Trust

While the US Dollar is now the official currency of Yap Island, Rai stones still are a type of money. Unlike the dollars, the Rai stones on Yap Island are not controlled by a single authority or stored in banks. Instead, the transactions are based on oral history and trust, with people keeping track of their own records of who owns which stones.

This system has both benefits and drawbacks. On the one hand, it allows for a certain degree of independence from one central authority. On the other hand, it can also lead to disagreements and potential for cheating. Why?

Decentralization is easy to achieve in small groups. Life is simple as there are fewer people to coordinate; it is often possible for everyone to have a say in decision-making processes and for those